

India's policies since 1991 have been to get government out of business' way, and expand private businesses in all sectors, including health and education. This has resulted in unsatisfactory progress on the human development index and incomes compared with China and Vietnam, and even Bangladesh. A

robust public sector is necessary for providing basic needs equitably to all citizens. India's policymakers must reimagine the role and scope of the public sector. Here is a blueprint.

- Essential public services—education, health, and utilities (water, energy distribution, public transport, basic banking)—should be provided

by public sector enterprises.

- Whether these enterprises are government- or privately-owned, their performance should be measured by their contribution towards improving the inclusion of citizens with lower incomes in their baskets of products and services, the quality of services provided to them, and their impacts on the environment.

- The compensations of their CEOs and boards must be tied to robust measures of inclusion and sustainability, not to stock market performance.

- The 'cost to companies' of their CEOs should be compared to the cost to companies of their own employees, not to compensations of CEOs in the private sector, which have become vulgar compared to salaries of their own employees. Variable compensation, if any, of CEOs in public sector enterprises should be tied to performance on social inclusion and sustainability.

- Management schools should teach a new curriculum on public sector management. They should be ranked by how many of their graduates join the public sector and how well their alumni perform there, rather than by the high salaries their graduates earn in the private sector and stock market valuations of enterprises they create.

The private sector builds private capital. India needs a public sector to build its public capital.

In my decades of consulting for enterprises both in the private and public sectors, I found an inverse correlation between compensations of their CEOs and the long-term, public-minded performance of their companies. Selfish companies extract financial capital from society and the environment, but public spirited leaders build social capital. **BT**

Views are personal

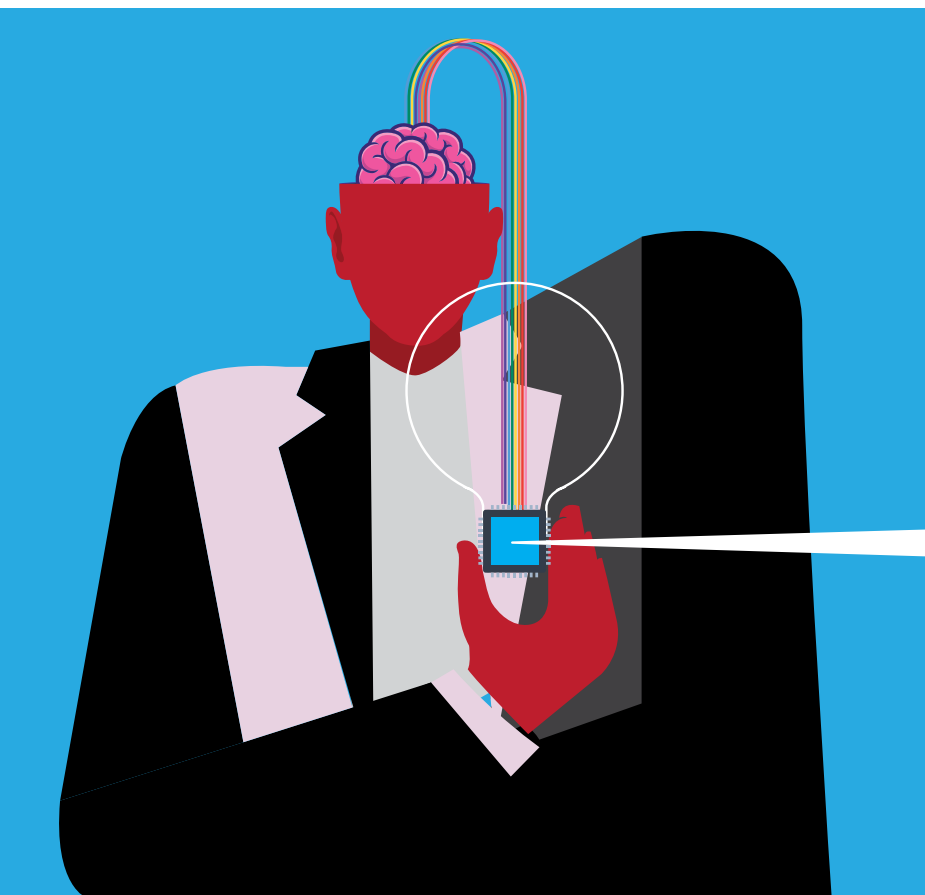


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	INDIA	BANGLADESH	CHINA	VIETNAM
● GDP per capita, 1989 (\$)	330	210	314	98
● GDP per capita, 2023 (\$)	2,400	2,529	12,700	4,350
● Increase in Per capita GDP (x)	7.3	12	40.4	44.4
● Current ranking on UN HDI indicators	134*	129*	79**	107**

(*CLASSIFIED AS 'MEDIUM DEVELOPMENT' BY UN;

**CLASSIFIED AS 'HIGH DEVELOPMENT')